

# Active Inference BookStream #001.010 ~ "Governing Continuous Transformation"

Source: [YouTube](#) Playlist: BookStreams Duration: 48:38 | Uploaded: Unknown

Transcript method: auto\_caption

---

hello and welcome it's March 14 2023 and we're in active bookstream 1.010 off to you blue um today we are going to be discussing this governing and continuing transformation book we're moving into the third and final section of the text um and so we're going to kick it off today and next week and we will wrap up our discussion of the book over these next couple of weeks so we are the active inference Institute a participatory online Institute that is communicating learning and practicing applied active inference these are all of our social media links this live stream is recorded and archived so please provide us with feedback so that we can improve on our work all backgrounds and perspectives are welcome and we will be following good video etiquette for live streams um if you would like to get involved in this project or any of the ongoing projects at The Institute um get in touch reach out at [activeinference.org](http://activeinference.org) I think we're actually [activeinference.institute](http://activeinference.institute) now too so either one works um okay so we are in the 10th chapter of this governing continuous transformation book we're going to actually discuss chapters 10 and 11 today this final section really is just a um a conclusion and wrap-up of the information that's been presented in sections one and two so we can just introduce ourselves briefly I am blue Knight an independent researcher in New Mexico and I will pass it off I'm Tyler I'm a dow researcher and particle designer in California Daniel I'm Daniel I'm a researcher in California oh okay so doing this third part the conclusion part the chapters today so chapter 10 is really just an abstract which we'll read and then it's like a giant table summarizing um the free energy governance model versus traditional corporate governance and so we'll just cover that and just summarize how how these are the same and different and then we'll get into chapter 11 and some of the content the conclusion content that is presented there um Tyler do you want to read this one for us and we'll take the next part sure so through the lens of the theoretical Concepts developed in this book FEG and traditional corporate governance kcg are assassin comparative uh perspective TCG models are predominantly characterized by a compliance mentality centered around where the

effectiveness as a matter of managing agency conflicts of interest through optimizing stereotypical core diversity enforcing director Independence fpg introduces a radically new logic exercising the corporate wholesale reinvention as strategic renewal was down posing indeed any such disposition of two Governors Logics can hardly escape the accusation of oversimplification however once we embrace the world as discontinuous and distributed you start understanding that today's trans corporate governance approaches are low-scale low leverage Legacy business for the international well and I'll just read the second part public policy prescribes best practices guiding corporate governance is an anachronism of modern business reinforcing upper echelon's risk aversiveness I.E compromising epistemic foraging and consequently entrapment in the incapacitating perception of the world as volatile and certain complex and ambiguous or vuca free energy governance Embraces any dimension of vuca as information Rich input for top-down bottom-up prediction error minimization in pursuit of minimizing surprise an over-reliance on CEO framed information flows and Analysis which is so characteristic of traditional corporate governance is as good as flipping a coin the very processes that explain success equally breed failure um and this table 10.1 there's a little bit in the chapter but this table 10.1 is um like one of the very few figures or tables presented in the entire text if not the only one um and here we can just see like there's three columns the first is the logic um and then the second is free energy governance like how it um relates to that logic and then the third column is traditional corporate governance and how how that relates to the logic so um for example so here the structure or hierarchy is the logic um where the free energy governance method is top down bottom up um top-down belief propagation and bottom up message passing in circular causality unidirectional upper echelon belief propagation only so there's not that bi-directional information flow and the process uh for free energy governance is generative or continuous and traditional corporate governance is static or agenda capabilities are meta Dynamic uh cognitive in free energy governance and operational or domain-centric in traditional corporate governance um the dominant neural network is this um direct oh no default default mode Network direct default I think it's default default mode Centric Network um and then the traditional corporate governance is Task positive Network Centric so this is interesting to me like I thought that um when we were talking about these neural networks it was really like the um conjunction of the two networks that I thought was characteristic of free energy governance as opposed to like one neural network being more dominant than another uh did you guys get that too or or is this like I don't know to me like I think that this is kind of like weird this took me by surprise I think

when they say like DMS Centric we're not saying that one is limited to free governance or TCG they're just saying that there's more of an emphasis on this kind of exploratory default mode processing with free energy governance but you still like have to do you know switch between explore and exploit or actually uh switch between but pursue them both simultaneously and so those are happening in parallel is my understanding at least yeah agreed with that Tyler and also is it the case that the normal operating function is Task oriented and then we pull back to review or is it the case that we're pulled back in review and then we drop into the task that's like DN dmn Centric but in both cases you still would want the effective oscillation um and then the learning for free energy governance is double Loop learning and single single Loop prevails in the and then there's different performance performance metrics and performance variables and corporate purpose which um I I don't know that we like got too into that text like this is kind of maybe um it was like lacking so I was surprised to see this here the corporate purpose so he says in free energy governance it's existential and axiomatically integral to the free energy minimizing governance mandate like the purpose is that um where in traditional corporate governance it's diffused and opportunistic with no relevance to um so maybe I like just skimmed over that or like blanked it uh from the text but this is from like the very the very first chapter so this is like you know what 13 live streams again that uh they're just linking like corporations want to survive linking that very much into like calling out the corporate purposes to to survive to you on cool so then um the second part of this table uh we talked about um strategic and financial control like the Dual mandate Management in FEG where traditional corporate governance is focused on financial environmental engagement we talked about infrared energy governance as an enactment um with traditional corporate governance is adaptation um digital transformation uh which is like that's interesting um like it's an interesting logic like the logic of digital transformation um where FEG is holistic wholesale reinvention and traditional corporate governance is selective transformation or domain specific um but like I I'm like having a hard time relating to this digital transformation logic [Music] I think what he potentially might mean to like say that you're a business that like sells something and like so you sell it over the counter right The Selective transformation would be like okay well now we have like a web check out flow but the digital like these wholesale reinvention could be like you know using AI to take your Bottoms Up input to transform those into top-down predictions right like really doing something fundamentally different with um your digital tools rather than just like mapping physical processes into digital as my understanding um and then strategic renewal uh is

autonomous under free energy governance proactive um and it's like this dual information flow again where in traditional corporate governance it's induced or reactive top-down mandates driven by belief propagation uh the machine learning logic um I thought this was cool and maybe I don't know Ruby Daniel wants to speak more to this um as we've been talking about the need for free energy minimization in active inference or not so the machine learning logic in free energy governance is optimizing the principle of least action to resist dissipation in order to persist um in traditional corporate governance it's like supervised or rule-based maximizing predetermined reward functions um I don't know Daniel do you want to speak any more to that uh just as you I know you've been like thinking about it okay the first thought was free energy balance surprisal we would minimize our surprisal if we had the perfect generative model so minimizing surprisal is like having the most model evidence and we're going to bounce appraisal with free energy minimization and so in this machine learning logic it's almost like we're going to bound our surprisal so that we can persist and thrive in our niche on the other side it's almost like we're going to be following best practices and compliance getting to the governance mandate below we're going to be bounding and staying within lines on all of the checklists and then question mark question mark question mark we will have impact in the niche whereas in free energy governance surprisal minimization slash bounding as a first imperative ends up taking on some of those outcomes that under the traditional corporate governance column would be seen as consequences of of reducing mismatch with compliance and regulation cool thank you um and then finally the final um item in the table the logic is the governance mandate under the free energy governance is continuous strategic renewal firm out performance and firm survival so like optimizing governance and operational coupling environmental enactment and dynamic Duality management of exploration exploitation as well as financial and strategic control um all powered by inactive inference um and then traditional corporate governance is Regulatory Compliance board Effectiveness from performance um by monitoring advising challenging boundary spanning networking all Guided by CEO Centric and principally up for Echelon dominated frames um and so this like table in a nutshell like really sums up a lot of the concepts that we've discussed throughout the text and what we are kind of looking for in this new governance model uh maybe Tyler do you want to read the first half of this abstract for chapter 11. so how can one possibly redefine the more strategic role when traditional governance Motors deeper the sweet entrenched and cognitive capabilities so poorly developed or non-manifest to be practiced around and Theory must be intuitive and Inspire

upper echelon questioning it's very hardness of mind to concede strategic renewal is continuous and during the process of top-down predictions bottom of stimuli surprise immunization urges upper echelon to consequently optimize the multi-intelligence sources of stimuli redesign processes as well as incentive structures and develop a new language to empower and active inference indeed to date corporate governance research and practice are more concerned with defining behavioral responsibilities rather than addressing its very capability needs thanks I'll take the second part there is no one-size-fits-all best practices catalog but fey's Nexus of structure cognition and capabilities provides the building blocks for a fundamentally new governance logic in a discontinuous world the essential governance challenge is to ensure the self-organizing optimization of top down bottom-up prediction error minimization learning to infer once we embrace the fpg as a novel organizational framework and early detector of firms impending entropic Decay we must reckon that unless replaced with an fpg inspired logic likely to continue relegating the board of directors to strategic irrelevance reinforce Financial control at the expense of strategic control prioritize top-down content over top-down bottom-up processes cultivate inertia and inhibit the full growth and survival potential of firms as self-organizing systems um and so this chapter had some sections in it that I just tried to summarize um here and so he talks about the dimensions of the theory and like the relevance he says the relevance of theory to the practice of strategy management and governance is essentially determined by three dimensions Theory must first be intuitive as well as a problem or opportunity driven second establish new metaphors or give new meaning to existing language that empowers purposeful sensing sense making and strategic renewable and third Inspire upper echelon questioning its very habits of mind I.E provide a new and enriching perspective around doing things differently um and this like I what I brought up the theory particularly because like what's not here in the dimension of like a theory or like the relevance of theory to the practice of strategy management and like I don't have any background in this so maybe Tyler you want to say some more about it but like I feel like the relevance of theory to the practice of strategy management like for me what's missing through this text and like we get like I think we're getting a little bit more into it now and we've uncovered it but it's like not very obvious it's like how do you find a practice that's grounded in this Theory like what are specific practices that this theory is imploring us as a firm to do so I don't know Tyler do you want to speak maybe to that and just in terms of strategy management overall like do all theories do that or am I just like where is the hard evidence maybe I'm just being a stickler well first stop looking good grounding and like economics and

corporate theory is that most of it is wrong and I completely like a lot of like even like microeconomics theory is like totally debunked never was correct in the first place and so there's a very low bar for like having a good theory like economics or corporate governance oh with that said like I'm trying to think of what makes pre-energy governance like different to process than like other kind of business managers in the past and like usually with other business management theories like there's do these 15 Steps right here is your best practice guide to what this looks like whereas with free energy governance it's like not at all because it has to be receptive to your environment so it really demands like a spiritual uh imbalance of these principles to like really do or even understand about like it really is like a spiritual I I keep coming back like that's what it feels like and you have to like really own this and internalize it for it to be used whereas like you don't have to understand you don't have to feel that with anything else in economics or corporate governance you can just like follow the steps but here like a lot of the same things we talk about corporate you know free energy governance are the same ways we talk about like creativity for example and a lot about spiritual practices it's like a very like receptive Dynamic environmental practice which like you really can't just put down to a series of concrete steps uh and so that's why I feel like I think this is spoke so powerful and also so frustrating at the same time because it's just like it's like how do you be creative or like I don't know like this is something you figure out by in conversation with your environment right it's the same thing with free energy governance like the most powerful things you can get from this Theory No One's Gonna like be able to directly teach you you have to kind of just live it um so yeah so calling is a theory is like even though it is grounded in like hardcore maths at least for like the way a lot of like business people including myself will practice it does not feel that way at all it feels much more of like a spiritual like mindset and that's very new for like a lot of these kind of I've hadn't experienced that before in a business context I'll I'll give a few other notes thank you Tyler very interesting um the first point that theory should be problem or opportunity oriented I think blue that's where we would feel like we were getting our hands dirty with the theory and free energy governance gives a continuity between what might be happening in the analytics Department with the actual generative models and in the communications department and the tools they use and in the boardroom whereas one thing that we could say about the traditional corporate governance theories is whether they were more mindset based or more behavioral and practice based their limitation in relevance was that they were doing these three points but then what would the work actually be about what would the machine learning engineer actually be doing

something totally ad hoc so there was always this like disarticulation between the narratives and the values and the broader purpose of the organization and then the implementation so here we're coming from the upper echelon to the front line and part of FEG is I think that by being imbued in theory even if this book was not heavily equation or simulation based yet it can provide a continuity within the organism within the corporation so I like hear that um that you brought in spirituality Tyler and I'm sorry like it says my internet connection is unstable so I'll apologize in advance if I'm cutting in and out um but I like how you brought in spirituality to this and also creativity um because here it's like the the job of the theory is to inspire upper echelon like questioning their own habits right and so like in this way it's very like it's like a koan right like like it's like you know some puzzle that you sit down to just like think about and solve and reflect upon so like the job of the theory is to be like a like a spiritual Quran like to just think about it um and then secondly like the creativity part um you're talking about creativity Tyler and also like um interaction with the environment like the the what it's brought about literally by like interacting with the environment and there's a really cool book um that I don't know if either of you guys have read or heard about it's called the artist's way and like literally it's just like a series of tasks that like get you into your environment so that you're like inspired to be more creative it's like a series of just like um it's in its own way like its own Riddler puzzle to be reflected on um in that that's what they lead you through in that book so it's just and it's actually it's actually why I mentioned that because I'm simultaneously reading the artist's way and also uh Rick Rubin it's like famous producer he just uh released a book about creativity and like the way that they were talking about um creativity in both these books is very much about like Bottoms Up sense making and like listening to your environment I was like wow like a lot of even like the language is the same with governance because like at some level we're talking about like the same thing um and so it's just like again that's what movies I love about creation governance is that it is so Broad and can Encompass all these different disciplines from creativity corporate governance you know and colonies whatever just a few short notes uh receptivity is not passivity it's the opposite it's the sentient engagements and the receptivity with the generative process that fine-tunes our generative model so that we can be who we expect and prefer to be so receptive and engaged with the niche does not mean sitting back that's probably been clear and then also the framework shouldn't be providing specifics I know that's a normative claim but it's like if somebody said I have a linear regression machine and it always comes up with positive linear regressions and be like well let's maybe separate that let's have the neutral linear regressor and then we can

have a second order preference for ones that are positive or let's filter out the ones that are positive only so in a way because it is a framework or a theory for this strategic renewal discussion which is the positioning of the book it is at a level above any specific practice because just like you couldn't say well a wing or a tooth or a poison is like simply a high Fitness adaptation of an organism outside of its context and Niche there's no practice or any pattern that would apply to all different organisms or organizations in their Niche so the discussion had to be moved back to this not ultimately neutral space in fact the very principled space but one that gave the expressivity to then specialize according to the dimensions that we basically looked at in the parts of the book and in this table from today awesome thanks okay so moving on from the dimensions of theory I think Bijan goes through like a very uh good summary of like all of the all all the things up until this point I think um so he says free energy governance provides rich and new meaning to existing Concepts and establishes new relationships first top down bottom-up prediction processing is applied to strategic management and defined in form of a generative process integrating circular causality in circular causality top-down belief propagation and bottom-up message passing in pursuit of one objective minimize surprise to resist entropy to persist powered by one first order principle of least action I.E free energy minimization a purpose-directed firm is the foundation for free energy governance's top-down bottom-up circular causality to come and stay alive and he goes on to say in the same context that upper echelon communication is centered around four dimensions dynamically Linked In feg's circular causality purpose prediction models predictions and stimuli the Simplicity and plasticity of the language are critical to ensure that reach and inclusion of team members are optimized more importantly firm members must be incentivized to stimuli challenge predictions underlying prediction models according to the first order free energization principle will self-evidently evolve by the way of unsupervised self-organization and he refers back to like the structure of cognition and capabilities that we've been linking through this entire text uh so this I um I I like and I but I I'm not um I'm not sure how to like he says the I'm not sure how to do that but it's like um how do you make language simple and plastic to you know ensure optimal reach and inclusion inclusivity um I don't know if you guys have thoughts on that like I'm like where are my step-by-step procedures that I'm supposed to follow to make this happen I think there's many angles on it just a few comments one a starting point would be making sure that the language are in the native or preferred tongue of that person or augmented entity so having the active inference ontology translated into multiple language is one first step but then there's some second order



um considerations about still using language and then uh the self-organization I thought well just pouring water on a mountain landscape the water is going to self-organize but it might not follow the path of least action to organize the way you want okay so then you modify the generative model or the generative process and you put um a ditch here and a wall here and again it follows a path of least action and it self-organizes given the constraints so it's like a combination of whatever will be will be however it unfolds is how it is going to unfold we can't really dissent from that level of tautology however that is the space which modifications of the niche and of the generative model can then self-organize to be whatever it will be that speaks a lot too to like the receptivity and um action or interaction active inference is interactive with the environment and the niche the inability to separate those things uh okay so he says so bad this is back here free energy governance provides Rich a new meaning to existing Concepts and establishes new relationships so this is another one of the new relationships um the Bijan claims he says enactment coined by Carl Wick and astutely applied by smirchich and stubborn to strategy process has conceptually inspired free energy governance and he goes on to say enactment is redefined as an act of inference essentially free energy governance is liberating upper echelon from the overwhelming cognitive distortion that their biggest challenge is taming or taming uncertainty when instead they should be really surfing it um and like that this is kind of these cool two references he throws in here unless the environment is redefined as a purpose-directed an action-centric generative prediction challenge in the form of prediction error minimization firms will continue being incapacitated by the faithful pursuit of adaptive Fitness more importantly redefining strategy as top-down bottom-up predictive coding lays the foundation to optimally leverage and co-evolve the human machine potential cognition comments here on this or we can move on if not okay um and then the third relationship that Bijan describes is he says Dynamic board capabilities in the form of Duality management are an entirely new genre of upper echelon capabilities that FEG establishes he goes on to say that inactive prediction processing becomes manifest in Duality Management in the form of balancing financial and strategic control as well as exploitation and exploration Duality management is all about probabilistic resource reconfigurations in superposition waiting to be enacted Duality stewardship is feg's essential governance mandate and then he continues later the r d or research and development percentage share of total revenues is potentially a good indicator of a looming Financial control trap within each industry there is a rough percentage Benchmark for r d investment for organic reinvention once a firm operates year on year below industry r d investment standards Financial control is

likely to be the only control left um and describes that as the capabilities and so here like I I really appreciated the section of the book because I think that we're starting to get some good like how do we know if we're minimizing free energy how do we know if we're um adapting free energy governance like what are we doing a good job what are the benchmarks like these are the kinds of things that I'm looking for and so here I liked this like you have to be investing at least the minimum industry industry standard into research and development um to ensure that like that's you're doing the Strategic part and not just like going for financial exploit exploitation um like the r d is the exploration part and so I thought that this is kind of a concrete application of what we've been looking at so far Daniel yes thank you the superposition it's a Quantum shout out and it made me think about some tasks that needs to be done we need to vectorize some images and then print stickers there's a superposition of plans we could upskill we could hire somebody we could acquire the company we could do all of these different plans including crossovers with the different plans and those pure plans maybe in their extreme form are never even on the table but the organization can think of its strategy as this mixed state that is truly quantum and it's doing a Quantum optimization over those Pathways maybe not even needing to Brute Force through them but rather just letting the quantum annealing work its magic so that's one interesting and then the other piece is like you mentioned blue once the firm is below a critical point in its research and development only financial control is left and so it's almost like um if if there's still wiggle room to turn left and right it's still a very maneuverable car but if you're in a position where only one of those sides wiggle can only happen to One Direction like okay well now we need to be cutting costs that's our only degree of freedom is cutting costs now it doesn't even say that's not going to be a functional strategy just that that is on that pathway to entropic decline because by having a reduction of affordances you are on the pathway to the ultimate reduction of affordances which is the failure to persist and as long as you have options on the table and the expectation of future options on the table if not more you're in the game of persisting well thank you for those thoughts Bijan says how to make it all work in practice is a daunting task there is no best practices catalog first of all best practices should be considered a potential source of inertia like throw those things out the window we don't need them we need first or principles to empower structural organization formal and informal throughput environmental engagement and capability to Foster self-organizing processes free energy governance does exactly this um and Tyler you had spoken earlier to like the throwing away best practices also or like there is not a map to do that here in free energy governance so though it's also the case to be like make

this analogy between like Fairview governance and creativity of spirituality like it's always the case where they can't say like okay here's all of these steps and this is exactly how it's going to work out for you but I think what's effective a lot of times too to say like hey well this is what it doesn't look like um like for example if you find yourself kind of enslaved to your addictions for example you may not be on like the spiritual this spiritual path or you may be kind of like off course a little bit right so there are things that you can point to say okay well I can't say Define what it is I can't Define what it isn't that and I think we have some like good Clues to that from this book even though it might not be as prescriptive as we might like all right and speaking of um persisting I wanted to I almost wanted to like skip to the slide directly um like why should this business exist and Prevail in the first place like John asked this question in the middle of the book and like I don't know why any of us exist or Prevail in the first place like we're all just hanging out minimizing free energy um taking the path of least action I guess uh it's just interesting like why did why do you exist in Prevail and um he encourages people to like ask themselves this um as part of like the governance mandate um what like why should we exist and Prevail for what for what reason um I thought think that's always a good question yeah one thought on that we can always take the um how did things come to be question and just whether we take that descriptively or as a mystery but given where we are or how we recognize ourselves it's a little bit like a Stay or Leave question we can stay on our path of least action or we can push the trim tab a little bit push the rudder a little bit and then be on a different path of least action so again we don't get to dissent from being on a path at least action but we have affordances which are our space of local adjacencies and this claim as I think you're pointing to it's something that the individual employee could ask themselves it's something that the team could ask themselves or the department and the the organization and maybe the organization's level conversation is happening in the boardroom for certain kinds of organizations and it's like should we make the next six months look a lot like the last six months should we pivot in this direction or should we just shut it down and having a space for those kinds of multi-level questions and and meaning finding I think part of the subtext is that's not a waste of time that's not us uh uh distraction from the work itself this is like the fountain that the work performance or alignment on any given scale actually flows from yeah just uh I'm not like I think the context of this book has been like large corporations that there's like a legal mandate for this thing to exist and for you to like meet the obligations of your um your people who are financing the business whereas like there might be more of like lifestyle businesses you might have or there

might be a non-profit or something where like the free energy governance mandate to like survive at all costs may not make as much sense like maybe this business organization has more of an extension of like your personal passion uh rather than being this own entity that needs to survive on its own terms right so I think it's also important to reflect like okay like free energy governance is this useful frame for thinking about it but like am I really trying to create this larger entity that exists independently of myself or is this um like who am I actually trying to do here and is this a relevant framework one other thought on that with the organism organization conversation to mind are we a seasonal grass are we a 17-year cicada and then have that conversation even if that's playful or in the beginning stages of team formation or of dial formation so that if some people think that they're going to be building the 100 000 year Arctic vaults and some other group of people think that they're doing a one-time concert that those can be like recognized and integrated in a way that isn't just um as much of just like keep things going which is how maybe this question can seem at first pass that it's just about existence and and prevalence but existence and prevalence in the biological spaces so rich and complex that it would make sense it would be that way for organizations too definitely um okay and then here quotes like and this is part of a long quote and we're going to carry over these over across the next two slides but he says Jan stahlberg's practice relevant statements from stelberg 2021 the reference if anybody wants to look it up concerning transparency communication and reaching out to the bottom should Inspire management practice um the first of these statements is everyone is informed in real time about everything and then stauber goes on to say I believe looking at some of the core propositions of free energy governance this is free energy governance connecting top and bottom in circular causality of sense making with the least friction and optimal response time um so this is like something that I've wondered about like how do you prioritize information flow top down bottom-up belief propagation and message passing and like they're saying like full transparency everybody knows everything all of the time and um that to me was kind of uh like mind-blowing because it's not how I would ever think to run a company like not at all Daniel okay I I hear you on that I have a slightly different reading here um I'm just imagining starting with this agreement wherever you are there you are so whatever you're informed about that's what you're informed about whatever your situational awareness is that's what it is and then that's the part that's been infuriating there's no suggestions for who should be in what messaging Channel or who should be on what email thread or who should be in what video chat but whatever we do decide with the chats and the emails and the meetings that will be your local message passing your

information environment your capacity of for inference and action so I don't think this means that every single employee or contractor has the full dashboard I think everyone's dashboard is respected though as their dashboard which helps bring the discussion to like what function what accessibility do they need and so on yeah I think I think this is part one but John was talking about a management Theory called like open governance I think it was called which is like the extreme version of everyone knows everything all the time and he was criticizing that because he was saying well maybe give everybody all the information all the time that doesn't necessarily give them the tools for making meaning of that or having that be relevant to like their specific context so I think what he's implying here is like yes like you give everyone like everyone access the information as well as tools for processing that information and like a locally relevant way I don't think he means just like pure chaos information done I could be reading into it okay Blues paused but I hear you on that Tyler cool I think her internet may have cut out yes what other parts have you found interesting so far oh there you go your back lift your back blue maybe you can disable your videos I think you can disable your video blow I want to give a thought on some synchronous and asynchronous things but you never really know when it will be now and real for blue but we're in a different now and real moment Tyler I think he's back I think she's back in our now okay continue blue thank you it was it was fine it's all fine um okay so um this is again to continue quoting stelberg value Creation in my experience has been usually determined by a combination of the following governance imperatives first you must start with a clear purpose and long-term goal prepare to invest for the long term and infrastructure second you need to continuously question yourself paranoia is key third team decisions are critical create a culture that empowers and encourages people to contribute to take decisions and not to be risk-averse in summary it really comes down to three things communication transparency and respect um and so like reading this whole quote in context is kind of what made me think that like they're encouraging open channels of communication everything flows to all the people all the time um but that was just it might not be um the read the correct reading um and and I do think that in more in what you're saying Daniel like you have your information Channel and like you live in that River and like that is where everything comes to you in real time and whatever like you're just in the river that you can sense me about right like you don't necessarily need to be in the ocean when you live in a river um and then that makes more sense to me in terms of of information flow do you guys have more thoughts here on value creation transparency respect communication no um all right so ber goes on to say the essential oh no this is actually sorry so bhajans says the

essential governance Challenge in a discontinuous and distributive world is now a matter of setting free the self-organizing optimization of top-down bottom-up to infer the firm is the generative model The Continuous nature of strategic renewal makes prediction modeling as well as prediction error minimization and integral and direct default mode Network Centric dimension of traditional monitoring advisory and Boundary spanning board responsibilities effectively in the absence of board-level meta capabilities as developed in this book the board can no longer fulfill even its most basic and traditional responsibilities um and I think that maybe Bhajan here is calling out like the discontinuous nature of the world and how like disruptions are regular um and like things move fast like change is always happening and um you know the Board needs to get on board or not um but that's the wrap-up of this chapter do you guys have any thoughts on this well one thing is whatever is working in the niche today if you expect the niche to remain the same you can keep your strategy the same and it will be the same however biological ecosystems have variability and patterns over different time scales and also organisms and organizations develop so it'd be like saying if the two-year-old baby can't fulfill its meta capability to learn and to change it will eventually no longer be able to fill even its most basic and traditional responsibilities and so that is where we start to see General claims about system operation and development and evolution and potentially the ways those are linked in the fep with the kinds of conversations that today can happen by differently framing the upper echelon Frontline dialectic cool I think that that's it so we're gonna get in next week to discuss the last two um sections of the book and then hopefully bring John and maybe you if you're interested anyone else who's interested in maybe discussing this material hopefully we'll get some new voices and perspectives that would really be great so thanks guys nice to see you thank you bye